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Treasury yields and dollar rise after Jay Powell warns on inflation

Choppy session for stock markets after Fed chair says interest rates must stay at current level or even increase

The Jackson Hole conference comes at a time of heightened market anxiety over the future of global interest rates © Financial Times

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US Treasury yields and the dollar rose after Federal Reserve chair Jay Powell said the central bank would consider another interest rate rise, and that it intends to hold policy at a restrictive level to temper inflation.

Powell, addressing the Fed's economic conference in Jackson Hole, Wyoming, on Friday reiterated that US inflation "remains too high" and it necessitates the central bank either holding rates at their current level or raising them to bring inflation down to its 2 per cent target.

Traders still expect the Fed at its September meeting to hold rates steady at a 22-year high, but futures markets on Friday pushed their expectations for a cut in the federal funds rate to June 2024, a month later than they expected at the start of the week.

The sell-off in US government bonds, which took yields on long-term debt to a 16-year high at the start of this week, continued. The yield on the two-year US Treasury rose 0.06 percentage points to 5.07 per cent while that on the benchmark 10-year note was steady at 4.23 per cent. Bond yields rise as prices fall.

Wall Street's benchmark S&P 500 finished a choppy session 0.7 per cent higher, and advanced 0.8 per cent for the week. The tech-focused Nasdaq Composite climbed 0.9 per cent, and rose 2.3 per cent over the week. The gains across five sessions ended a three-week losing streak for both indices.

The dollar, which tends to rise when investors anticipate higher rates, gained 0.2 per cent against a basket of currencies after Powell's remarks to close at its highest level since May 31.

"[Powell] has been very consistent that they are targeting inflation getting down into the 2s — and eventually all the way to 2 per cent," said Wylie Tollette, chief investment officer of Franklin Templeton Investment Solutions. "He's been very clear on that and clear that we're not there yet."

Dollar climbs as US interest rate expectations shift

US dollar index

Source: Refinitiv

Until recently, the majority of market participants believed that the Fed had finished raising its benchmark federal funds rate, which is currently in a range of 5.25-5.5 per cent, but recent economic data has signalled that the labour market remains tight, and that consumer spending is still relatively healthy.

Vishal Khanduja, co-head of broad markets fixed income at Morgan Stanley Investment Management, said the resilient economic data would likely begin to falter as consumers and employers feel the pressure of persistently high borrowing costs.

“The consumer is definitely starting to hurt,” he said. “Certain cohorts of consumers that we track are already going back to pre-Covid levels of delinquencies.” These had slowed down during the pandemic due to government stimulus and increased savings rates.

“In the next six months in the US economy, I think you will start seeing data surprise to the downside,” Khanduja said.

In Europe, the region-wide Stoxx Europe 600 index, which had earlier advanced as strong commodity prices lifted energy and utility stocks, ended the day fractionally lower.

Brent crude, the international benchmark, settled 1.3 per cent higher to trade at $84.48 a barrel, while US equivalent West Texas Intermediate added 1 per cent to trade at $79.83 a barrel.

The jump came as oil prices were heading for a second consecutive week of declines, as concerns over China's economic outlook and increasing interest rates raised concerns over future demand for the fossil fuel.

In Asia, Hong Kong's Hang Seng index fell 1.4 per cent, while China's CSI 300 lost 0.4 per cent and Japan's Topix shed 0.9 per cent.

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